



Challenge 8th Edition: Case study

Case study competition
at PwC AC India

Round-2

Workstream - 1



Overview

Six months have passed since the Board of StyleVerse Global approved the company's enterprise-wide AI transformation programme developed in partnership with PwC. The initial phase of the engagement focused on understanding how work is performed across the organization, identifying opportunities where AI could augment employees, redesigning operating models and establishing a governance framework to guide responsible AI adoption. With the transformation strategy now approved, StyleVerse has entered the implementation phase.

Recognizing the scale of the transformation, the Executive Leadership Team has decided against deploying AI across the entire organization simultaneously. Instead, implementation will begin through a series of strategic workstreams focused on business functions where AI can deliver measurable operational improvements while validating the broader transformation strategy before scaling across the enterprise.

One of the first workstreams selected for implementation is **Design & Product Development**. Leadership believes that improving how ideas move from emerging customer trends to commercially successful products has the potential to unlock value across merchandising, marketing, retail operations and customer experience. The expectation is not simply to introduce new technology, but to fundamentally redesign how designers, merchandisers and commercial teams collaborate while preserving the creativity and craftsmanship that define the StyleVerse brand portfolio.

Business Challenge

Design has always been one of StyleVerse's strongest competitive differentiators. Across its five brands, design teams are responsible for identifying emerging trends, developing seasonal collections and translating customer insights into commercially successful products. However, the way fashion trends emerge has fundamentally changed. Instead of relying primarily on seasonal runway collections and historical buying behaviour, customer preferences are now shaped continuously through influencers, digital creators, social media platforms, fashion blogs, online reviews and rapidly evolving cultural trends.

Although StyleVerse employs highly experienced designers, its product development process remains largely sequential and manual. Every collection begins with extensive research - Designers spend considerable time gathering and validating information before the creative process even begins. Trend reports from external forecasting agencies, fashion shows, competitor websites, e-commerce platforms, customer reviews, social media channels, marketing campaigns and historical sales reports are reviewed independently before being consolidated into presentations, mood boards and design proposals. Because these insights are spread across multiple disconnected sources, designers often spend more time collecting

and validating information than translating insights into creative concepts. Similar approaches are increasingly being augmented by AI and data-driven trend forecasting across the fashion industry, where leading platforms combine signals from runway shows, social media, search behaviour and retail performance to accelerate design decisions.

Once concepts are developed, collaboration across Design, Merchandising, Marketing and Commercial teams relies heavily on presentations, emails and multiple approval meetings. Feedback is manually consolidated and design revisions often require repeated coordination between teams before concepts can move into production planning. By the time products receive final approval, market demand may already have shifted towards newer trends.

The Executive Leadership Team has identified this workstream as one of the highest-priority implementation initiatives because improvements in product development are expected to influence downstream functions including Merchandising, Marketing, Retail Operations and Customer Experience. Internal analysis conducted during the strategy phase of the project revealed that designers spend a significant proportion of their working week on trend research, competitor analysis, documentation and administrative coordination rather than actual creative design. Leadership believes many of these activities are repetitive, information-intensive and well suited for AI augmentation, allowing designers to focus on ideation, experimentation, collaboration and creative decision-making.

The Executive Leadership Team has identified several opportunities where AI could potentially improve the product development lifecycle. These include accelerating trend discovery while enabling faster cross-functional collaboration and intelligent decision support. However, leadership remains clear that creative ownership, brand storytelling and final design decisions must continue to remain human-led. The same capability must also serve all five brands, whose creative operating models differ considerably. SpeedStyle launches frequently against rapidly shifting trends, while Maison Luxe depends on craftsmanship, exclusivity and designer-led storytelling. Leadership expects a single capability with clearly differentiated levels of AI involvement by brand, rather than five separate solutions or one uniform approach.

Leadership has raised a further consideration. Where AI-enabled tools contribute to a design that is commercialised, StyleVerse must be able to evidence human authorship and retain a record of how the design was produced. Leadership regards the protection of design IP across India, Europe and North America as a condition of adoption rather than a downstream legal formality.

Over the past six months, competitive pressure has intensified. SpeedStyle, the company's largest and fastest-growing brand, has experienced declining sell-through rates across several collections because products reached stores after customer demand had already shifted. Internal analysis indicates that nearly

one-third of approved concepts lose commercial momentum before launch despite strong design quality. The Executive Leadership Team has therefore established a new implementation objective: **reduce the trend-to-store cycle from 14 weeks to fewer than 8 weeks within the next 12 months**, while maintaining product quality, creative excellence and brand differentiation. Leadership has further asked that the proportion of designer time spent on creative design and concept development **increase from 37% to at least 60% over the same period**, without any increase in design headcount.

Manufacturing lead times, fabric sourcing commitments and supplier capacity mean the Production Readiness stage cannot reduce below three weeks under StyleVerse's current supply chain arrangements. The required compression must therefore be achieved almost entirely within the four stages that precede it, which today account for ten of the fourteen weeks.

Rather than expecting employees to simply work faster, leadership wants to explore how AI can reduce repetitive work, improve collaboration, accelerate decision-making and fundamentally redesign the way product development is performed. Leadership does not expect this phase to cover all five brands or the full product range. A pilot scope is acceptable, provided it is clearly stated, the approach to scaling is explained and the team can show how the capability would differentiate across the remaining brands.

Workforce & Organizational Challenge

This next phase of the project has a key guiding principle: AI should augment employees, not replace them. As implementation begins, however, leadership recognizes that technology adoption will succeed only if employees understand how their roles will evolve.

Within the Design function, opinions remain mixed. Some designers see AI as an opportunity to reduce repetitive research and spend more time exploring ideas, while others worry that generative AI could gradually diminish originality or reduce the value of human creativity. Managers are equally concerned about maintaining collaboration across Design, Merchandising and Marketing while introducing new AI-enabled ways of working.

The Executive Leadership Team therefore expects this workstream to demonstrate not only how AI improves business performance, but also how employees can be reskilled, supported and empowered throughout the transition. Any proposed solution should reinforce the organization's broader workforce strategy by improving AI readiness, increasing employee confidence and enabling designers to transition toward more creative, collaborative and strategic responsibilities.

Although this workstream focuses on Design & Product Development, leadership recognizes that its impact extends well beyond a single function. Faster trend identification will influence merchandising decisions, collection planning and inventory allocation. Accelerated product approvals will affect marketing campaign timelines, retail launch calendars and customer engagement strategies. Similarly, reducing repetitive work within Design may allow employees to assume new responsibilities supporting AI governance, prompt engineering, cross-functional collaboration or innovation initiatives.

For this reason, every implementation decision should be considered within the context of the broader transformation programme. Leadership is particularly interested in understanding how improvements within Design strengthen the overall enterprise operating model while remaining aligned with the approved governance framework, workforce strategy and **Zero-Layoff commitment**. Any proposed redeployment of employees into other functions should explain how those changes create value for the wider organization rather than simply shifting work between teams.

The Board has already approved an enterprise **AI transformation investment of ₹200 Crores**. They are interested in hearing PwC's recommendations regarding an appropriate allocation of this budget toward the Design workstream, supported by reasonable assumptions and a clear business rationale.

Summary of Deliverables Questions

The implementation phase of the project is intended to demonstrate how the approved transformation strategy can be translated into measurable business outcomes. Rather than redesigning the enterprise strategy, this phase focuses on operationalizing AI within the assigned workstream while ensuring alignment with the broader operating model, workforce strategy and governance framework already approved by the Executive Leadership Team.

As the PwC consulting team leading **Workstream 1 – Trend-to-Design Accelerator**, develop an implementation proposal addressing the following:

1. Design, build and demonstrate an **AI-powered solution** that addresses the key challenges within the Design & Product Development function. Your demonstration should showcase a working prototype illustrating how the solution integrates into day-to-day operations.

Through the demonstration and your deck, you should highlight:

- a. how the proposed AI solution improves the way work is performed within the Design & Product Development function, making clear which steps of the current process it removes, shortens, or replaces, and the improvement achieved at each affected step;
- b. which routine and repetitive tasks are automated, which tasks are augmented, and which activities remain fundamentally human-led, building upon the task audit conducted during the initial phase of the transformation;
- c. how employees interact with the AI solution and how human-AI collaboration is enabled;
- d. how the solution enables employees to focus on higher-value activities such as creativity, innovation, collaboration, and strategic decision-making; and
- e. the expected business impact, supported by measurable success metrics such as reduction in product development time, improvement in trend identification, reduction in research time, reduction in design iteration cycles, improvement in concept approval time, improvement in trend relevance, designer productivity, sell-through improvement or reduction in design rework, or other relevant KPIs.

Teams are free to develop their solution using any suitable AI approach (e.g., AI copilots, intelligent assistants, agentic AI, workflow automation, generative AI, predictive AI or low-code/no-code platforms), provided the solution is practical, scalable and aligned with StyleVerse's business objectives.

2. Develop a **comprehensive implementation strategy** describing how your proposed solution will be introduced within the Design & Product Development function. Explain how employee adoption will be encouraged, how resistance to change will be managed and how the solution integrates with the AI Centre of Excellence, governance framework and enterprise operating model approved during the initial phase of the transformation programme
Your strategy should include a phased rollout approach, stakeholder engagement plan, key risks and mitigation actions, and measurable KPIs that will be used to evaluate adoption and business success at the end of this phase of the project.
3. Develop a **workforce strategy** demonstrating how your proposed solution contributes to solving StyleVerse's broader workforce challenges. Explain how the solution improves AI readiness, supports employee reskilling and redeployment, reduces attrition and reinforces the company's Zero-Layoff commitment.

Where employees transition into new responsibilities or collaborate more closely with other business functions, explain how these changes strengthen the broader enterprise transformation strategy. Teams should also recommend an appropriate allocation of the approved ₹200 Crore AI Transformation Budget to support this workstream and justify the proposed investment based on expected business value, organizational impact, and long-term scalability. Teams may make reasonable assumptions regarding budget allocation, implementation timelines and resource requirements, provided these assumptions are clearly justified.

NOTE: Each workstream would be evaluated as an independent implementation scenario. Teams should recommend the share of the ₹200 Crore enterprise budget required for their assigned workstream and justify that allocation. They are not required to reconcile their allocation with proposed investments in the other workstreams.

Exhibits

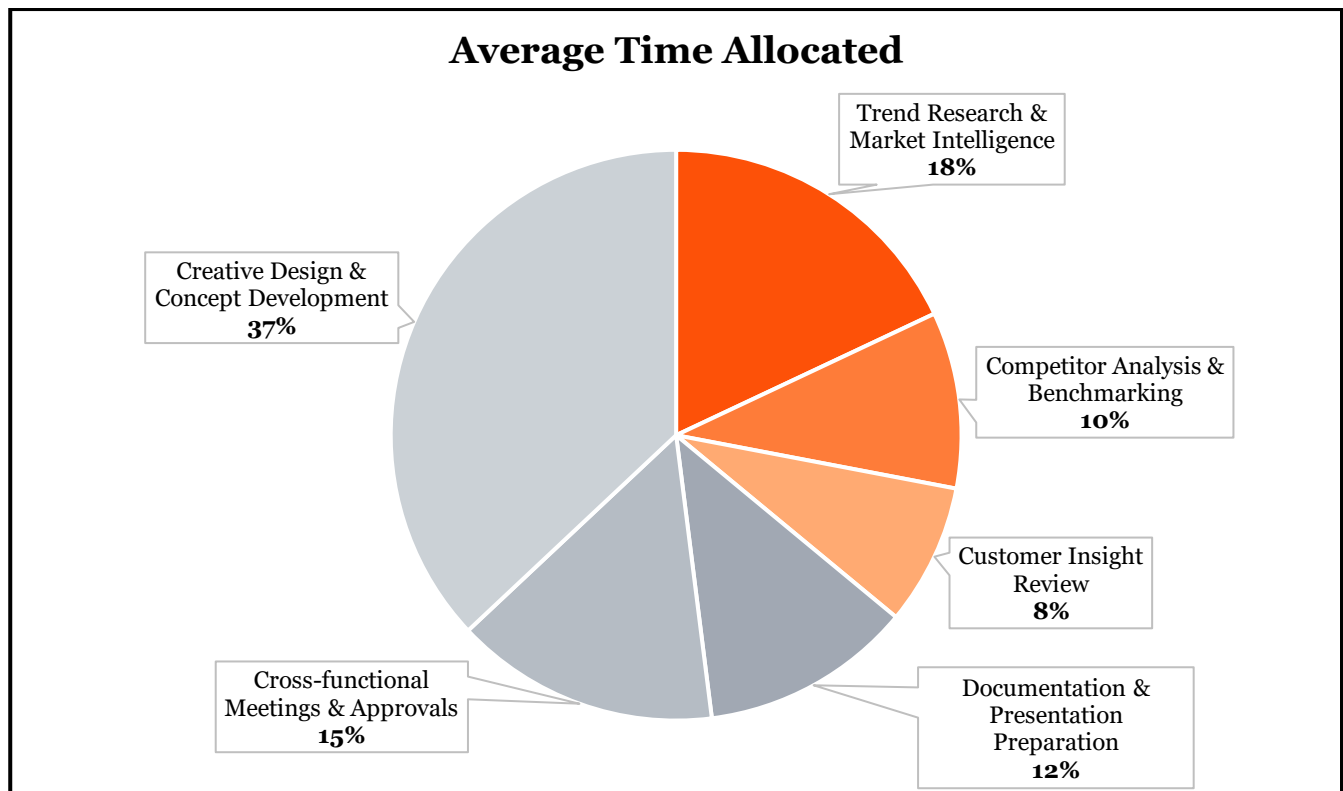
Exhibit 1: StyleVerse Current Product Development Lifecycle

Stage	Primary Activities	Average Duration	Key Challenges
Trend Research	Review trend reports, social media, fashion shows, competitor collections and customer insights	3 weeks	Manual research across multiple sources, fragmented information
Concept Development	Mood boards, sketches, colour palettes, fabric exploration	2 weeks	Limited data-driven ideation, repeated design iterations
Cross-functional Reviews	Design, Merchandising, Marketing and Commercial approvals	3 weeks	Multiple review cycles, manual feedback consolidation
Product Refinement	Final design updates, documentation and collection planning	2 weeks	Version control challenges, repetitive documentation
Production Readiness	Final approvals and handover to manufacturing	4 weeks	Delays due to cross-functional coordination and approvals

Internal observation: The Executive Leadership Team believes reducing manual research, documentation and coordination effort represents the single largest opportunity to improve design productivity.

NOTE: Stage durations apply to a single collection. StyleVerse launches twelve collections a year across its five brands, with several in progress at any time. The Design & Product Development function employs approximately 1,500 people. Teams may make reasonable assumptions regarding collection volumes, team structure and product counts, provided these are clearly stated.

Exhibit 2: StyleVerse Design Team Activity Breakdown (Current State)



Internal Observation: Internal analysis indicates that only 37% of designer time is currently spent on creative design and concept development; the remaining time is distributed across research, insight review, documentation and approvals.

General Instructions for the submission

Please use the following format for the presentation:

1. **Executive Summary** – Mandatory and should not exceed 2 slides
2. **Body** - Do not exceed 10 slides for the main body of the deck (excluding executive summary and appendix). Use your own judgment to decide the number of slides for each deliverable
3. **Appendix** - Should not exceed 50 slides

4. To keep the content readable, do not go below a font size of 10. Preferably, use 12 or above. Slide headers & content use font type - Georgia and Arial, respectively
5. Please make assumptions wherever required. Also state them clearly in your calculations and add them in the footer section
6. In case of quoting data from external sources, please mention references in the footer. Use American Psychological Association (APA) style referencing
7. The AI demonstration may take the form of a working application, AI agent, chatbot, copilot, workflow automation, low-code prototype or any other interactive solution that effectively demonstrates the proposed business capability.
8. Teams may use synthetic, anonymized or publicly available sample data to demonstrate the proposed solution. A production-grade model or statistically validated enterprise dataset is not required. However, teams must clearly state their data assumptions, proposed input variables, limitations and approach to production deployment.